

< Session 2 >

*EMBA 60, Negotiations*

## INTEGRATIVE AND CROSS-CULTURAL NEGOTIATION

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## Agenda for Today

1. Integrative Negotiation
2. Exercise and debrief: International Lodging Merger
3. Cross-cultural Negotiation
4. Exercise: Harborco

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# What “Win-Win” is All About

- “Logrolling” is trading something of less value in exchange for something of more
- Ironically, the presence of *differences* creates the potential for efficient agreements and joint gains
  - *“It were not best that we should all think alike; it is difference of opinion that makes horse races.”* Mark Twain

## Differences in:

1. Preferences (e.g., taste, risk aversion)
2. Beliefs (e.g., predictions)
3. Abilities (e.g., to leverage assets)

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# Negotiating Paradox: Mixed Motives

- **Successful negotiations simultaneously include:**
  - Integrative bargaining (“creating”)
    - Problem-solving to increase the size of the pie
  - AND**
  - Distributive bargaining (“claiming”)
    - Competing for a bigger piece of the pie



*You need to manage this tension effectively*

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# Expanding the Pie: What Doesn't Work

1. Assuming competition, i.e., the fixed-pie bias
2. Negotiating one issue at a time
3. Even split
4. Compromising before exploring integrative potential
5. Focusing only on feeling good
6. Focusing on beating the counterpart instead of maximizing your own return

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## Contingency Contracts

- Don't argue about the future: Bet on it
- Diagnose the other side's honesty and build trust
- Provide an incentive for post-settlement effort
- Reduce risk through risk sharing
- Contingent contracts require
  - Continuing interaction
  - Enforceability
  - Transparency
- Can sometimes backfire
  - Signals distrust
  - Focus people on the wrong metrics

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# Take-aways for Integrative Bargaining

- Identification, and creative use of differences in preferences and opinions leads to value creation
- Positional bargaining, or taking one issue at a time, reduces or eliminates value creation possibilities
- Revealing the *right* information is important in creating value; revealing the *wrong* information puts you at a disadvantage
  - Communication skill, listening, and cautious trust

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## Exercise: Lodging Merger

- **Previously caucused with your team**
- **Negotiate for up to 45 minutes**
- **15 minutes to enter responses** (link in Canvas) **and take a break**
- **Regroup in one hour**

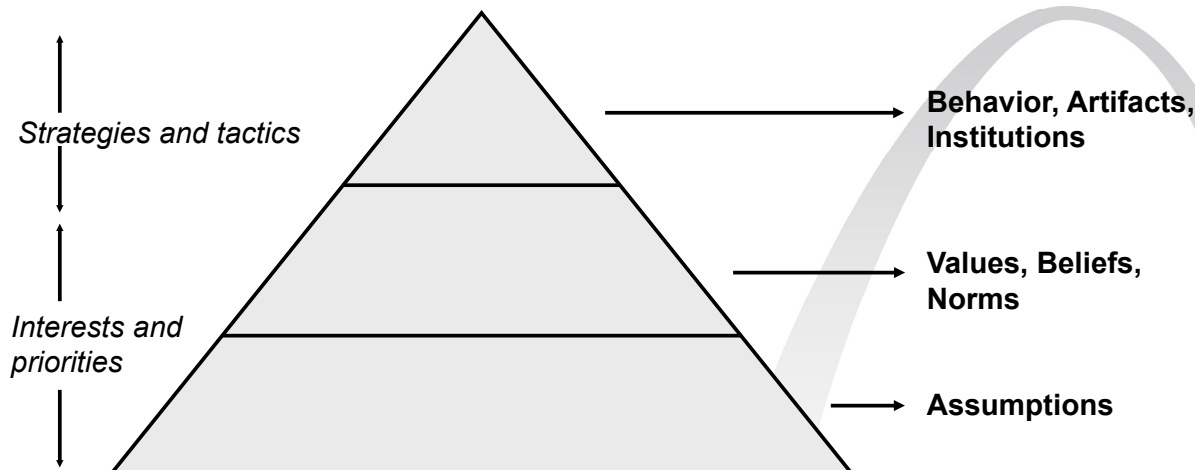
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# Culture as an Iceberg

Culture is “the unique character of a social group”.



Adapted from Figure 10-1 in Thompson MHN

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## Dimensions of National Culture

| Cultural Dimension                                                              |                                                                                                                                                   |                                                                                                                                                                                                          |
|---------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Goals and Motivation:</b><br><b>Individual versus Collective Orientation</b> | <b><u>Individualists/Competitors:</u></b><br>Key goal is to maximize own gain.<br>Regard themselves as free agents.<br><i>Focus on the task</i>   | <b><u>Collectivists/Cooperators:</u></b><br>Key goal is to maximize the welfare of the group or collective<br>Individuals regard themselves as group members.<br><i>Focus on the relationship</i>        |
| <b>Influence:</b><br><b>Egalitarianism versus Hierarchy</b>                     | <b><u>Egalitarians:</u></b> BATNA as power<br>Do not perceive many social obligations.<br><i>Tend to focus on the future;<br/>“time is money”</i> | <b><u>Hierarchists:</u></b> Status as power<br>Social order is important<br>Subordinates expected to defer to superiors, who care for subordinates<br><i>Tend to focus on the past;<br/>more patient</i> |
| <b>Communication:</b><br><b>Direct versus Indirect</b>                          | <b><u>Direct Communicators:</u></b> (low context)<br>Explicit, direct information exchange; few constraints or need for face-saving.              | <b><u>Indirect Communicators:</u></b> (high context)<br>Tacit information exchange, such as storytelling, inference-making; situational norms.                                                           |

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Adapted From Table 10-1 in Brett (2001)

# “Time is Money”...or is it?

- **Unwritten rules about time often frustrate cross-cultural negotiators**
  - “Monochronic” cultures are “on time” and tend to be more directed and task-oriented (e.g., Germany, USA)
  - “Polychronic” cultures tend to multi-task and are more flexible about time (e.g., Latin “mañana”, Indian IST)
- **Speedy decision making is a cultural value**
  - Effective in the US vs. impulsive in Japan
- **Time can be priceless (e.g., French vacations)**
  - Each culture has its own taboo tradeoffs

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## Building Relationships

- **Americans often dread this**
    - Obligatory waste of time, polite chit-chat
    - Roundabout way of doing business
    - Getting uncomfortably close (i.e., ethical concerns)
  - **But relationships necessary in some environments**
    - Lacking legal and political infrastructure
    - Lacking transparent markets and accounting standards
    - Social structure stronger and solves these concerns
      - Less accustomed to working with outsiders
- ↓
- **People want to know *who* they are working with**

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# “The Ugly American”

- **Americans frequently expect members of other cultural groups to accommodate to their style**
  - US business norms familiar throughout the world
    - Many from US believe US style is superior
  - English has become the *lingua franca*
  - Americans less exposed to other cultures
- **You will be rewarded for resisting this temptation!**
  - To create and capture value you need to be able to read your negotiation setting and counterparts

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## Best Practices for Cross-Cultural Deals

- **Openness to different points of view**
  - Differing perceptions of power, tactics, etc.
  - Not to like them, but to understand them
- **Persistence and patience**
  - Can be longer, more complex and frustrating
- **Empathy and cultural sensitivity**
  - Learn how to show respect (e.g., names, gifts, etc.)
  - Meaningful personal contact
  - Understand the intentions behind the actions
- **Move past stereotypes**
  - Yet know when there is a “kernel of truth”
- **Sense of humor**

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# A Paradox?

- **Cross-cultural negotiations often create less value than within-culture negotiation**
- **However, in theory cultural differences should provide more opportunity for logrolling**
  - The *foundation* of integrative bargaining is differing preferences (time-sensitivity, priorities, etc.)
  - e.g., Selling chicken drumsticks to Cuba
- **Solve this paradox with your own creativity**

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## Exercise: Harborco

- **Previous optional contact with counterparties**
- **Negotiate for up to 75 minutes**
  - Detailed instructions in case about taking votes
- **Please keep track of time** (so you get lunch—likely to cut in ~15 minutes)
- **Tonight enter survey results** (link in Canvas)

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